Dealer Policy Handbook- FY27

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C/DIS/26-27/02
30 March 2026

CEAT PARTNERSHIP POLICY for 2026-27

1. MINIMUM BUSINESS

A. All **Existing** Channel Partners (appointed on/ before 29 March 2026) will have to do a minimum business of **Rs. 5.0 Lac** (post tax)
B. All **New** Channel Partners (appointed on/ after 30 March 2026) dealing with the Company will have to do a minimum business as follows:
   a. For passenger category dealers: **Rs. 5.0 Lac** (Post tax) average per month (APM) in every quarter.
   b. For commercial category dealers: **Rs. 7.5 Lac** (Post tax) average per month (APM) in every quarter

Applicability of clause a. or b. shall be ascertained by ZM of respective zone.

GST registration is mandatory for all channel partners.

2. SECURITY DEPOSIT

All Channel Partners dealing with the Company will have to maintain minimum Security Deposit with the Company as follows:
A. For **Existing** channel partners- Higher of:
   a. APM Post Tax Value Target for the financial year 26-27
   b. Rs 5.0 lac
B. For **New** Channel Partners: Rs. 5.0/ 7.5 lac (as per Clause-1).

Below this no business shall be carried on.

3. INTEREST ON SECURITY DEPOSIT (SDS)

Channel Partners will be entitled to SDS interest of 8% (Eight percent) per annum subject to below clauses:

i) Deduction from interest payable will be made for all Overdue Payment for the no. of days delayed, through debit note @8% with applicable GST. The Debit note amount will be auto adjusted against SDS interest amount.

ii) If the cheque returns are more than 5% of the turnover in a quarter, no Security Interest will be paid for that Quarter.

iii) Interest will be paid in line with quarterly rotation of 3.0, 2.5, 2.5 & 3.0. If quarterly rotation is as per the norm, then 8% interest p.a. will be paid on actual SDS. If quarterly rotation is below norm, then 8% interest p.a. will be paid on actual sales.

The SDS Interest will be payable through **Quarterly Credit Note**, after **deduction of TDS**.
Interest on SDS will be computed on actual deposit in company books, calculated **based on daily balance**.

PAN number is mandatory for SDS interest payment to the Channel Partners.

Please note that Company reserves the right to revise interest rates on SDS according to prevailing market conditions

4. TRADE DISCOUNT:

Trade discount of 0.75% will be given on the body of invoice (BOI). Trade Discount is not applicable on sludge, test tyre and NOE invoices and Warranty and Claim.

5. CREDIT LIMIT:

The Channel Partner will be offered credit limit in the ratio of 1:1 to their security deposit. This means that, at any point of time, the total outstanding of the Channel Partner cannot exceed the security deposit amount.

6. CREDIT PERIOD & MODE OF COLLECTION:

Type of Channel Partner	Credit Period
LOCAL	27 days
UPCOUNTRY	30 days

Credit period of Channel Partner will start from the date of dispatch or 48 hours from the date of invoice, whichever is earlier. All cheques will be deposited in the bank as per due date.
All new dealers shall be on electronic mode of collection only.
Channel partners will be given benefit of 10 CEAT regional holidays in computation of due date. If due date falls on any of these 10 holidays, the due date will be extended by 1 day.

7. PROMPT PAYMENT DISCOUNT (PPD):

All Channel Partner will be eligible for PPD on all payments made by cheque / RTGS / Online Payment/Credit Notes and SDS adjusted against invoices, within the credit period as mentioned in section 5.0 above.

PPD will be 1.00% of Pre-Tax value on payment received / credit note / SDS adjusted against the invoice. It will be paid even on partial adjustment of invoices if adjusted within the credit period.
Mode of Disbursement – Monthly Credit Note

All the Channel Partners making payment through Channel Finance will get 1% PPD on BOI (body of invoice).

Sludge, NOE, warranty, claim & Test Tyre invoices are excluded from PPD entitlement.

EXCEPTION:
Channel Partner can recover lost PPD and get reversal of delayed payment debit note, upon completion of required rotations of security deposit in given quarter; without availing any extra limit over and above the policy.
Quarter-wise required rotation: Q1-3: Q2-2.5: Q3-2.5 & Q4-3.

8. NEW CHANNEL PARTNER – ADDITIONAL BENEFITS:

New dealers (appointed on 30 March 2026 and after) shall be eligible for SDS Interest @8% p.a. and GLD 0.75% on actual turnover unconditional for current financial year FY27.

9. ADJUSTMENT OF OVERDUE / DEBIT NOTE:

Any invoice or part thereof, outstanding beyond 30 days from the due date will be adjusted against SDS interest followed by security deposit. Similarly, Channel Partner liable to pay DN generated by the company within 7 days from the date of DN to avoid auto adjustment of the same against SDS Interest followed by Security Deposit.

10. CHEQUE RETURNS:

If there is a cheque return by a Channel Partner, 0.5% of the cheque value or Rs 5,000, whichever is higher, will be debited to the Channel Partners.

The payment of the returned cheque must be paid through RTGS/Online Payment mode only & no bounced cheque will be represented in bank for clearing.

In case of single Cheque Bounce, dealer needs to work only on Electronic Mode

Cheque facility is totally at the discretion of the company and can be withdraw at any time with prior information to channel partner.

Date of cheque return as accounted in Company books will be considered for all the above clauses.

Company reserves the right to vary/amend/ add or withdraw any of the above policies (Segment) at any point of time without prior intimation.

This Policy comes into effect from 30th March, 2026

THIS POLICY SUPERSEDES ALL EARLIER POLICIES/CIRCULARS/ SANCTIONS AND UNDERSTANDING.

C/DIS/26-27/04
30 March 2026

FY 2026-27

Membership to CEAT - THE CLUB for the year 2027-28 will be awarded based on Post Tax Value performance, from 30th March'26 to 29th March'27, as given below:

Club Category ***	Minimum avg. monthly Post Tax Value- from 30th March'26 to 29th March'27	Growth Over FY 26	Condition
GALAXY	155	4%	Minimum avg. Post Tax Value as per slab
PLATINUM	80	8%	
GOLD	35	12%	

***** Both Value and growth criteria will be applicable for club qualification.**

FY 2027-28			
Apart from being a cherished member of the CEAT family you will enjoy the following benefits			
Benefits	**GALAXY**	**PLATINUM**	**GOLD**
Conclave with top Company personnel in an international location, with Spouse	*		
Conclave with top Company personnel in an international location, for self		*	
Conclave with top Company personnel in a location in India, for self			*
Dinner with Family with Zonal Heads			
Local Travel within Regional Office cities for self & immediate family, limited to one car only	*		
Local Travel within Regional Office cities for self & immediate family - Upto six times in a year, max for 2 days per instance,		*	

limited to one car only (upto 6 seater)			
Stay Facilitation for a couple, wherever Ceat Guest House is available	*		
Stay Facilitation for a couple, wherever CEAT Guest House is available - Upto six times in a year, max for 2 days, subject to the availability.		*	
Club Stationary	*	*	*
Club Certificates	*	*	*
Claim Training & Authorization	*	*	*
5 PCR / UVR tyres per year (for personal car) at a discount mentioned there in	**FOC**	**50%**	**30%**
Annual Health Check up with Spouse	*		
A surprise program which will be announced time to time	*	*	*

TERMS & CONDITIONS

1	**Applicable only to dealers, Hubs & Ceat Shoppes. Not applicable to Fleet accounts, Insti accounts & Distributors.**
2	**Qualification will be based on all of the parameters mentioned in Qualification Criteria.**
3	**Value will be calculated as per SAP report.**
4	**All payments of invoices upto & including March 2027 have to be cleared before the due dates. Any overdue outstanding of such invoices will result in automatic disqualification**
5	**All benefits will be as per Benefits table mentioned**
6	**The cut-off period for availing the benefits will be 29th March 2028**
7	**All disputes will be subject to Mumbai jurisdiction**
8	**CEAT reserves the right to modify the above terms & conditions**
9	**TDS under 194R @10% will be applicable under Income Tax Act .**

C/DIS/26-27/06
30 March 2026

Ceat Club Limit Policy

In line of Club Policy of 2026-27, the all eligible club dealer are entitled for the following Limit during FY27 :-

1. Galaxy Club Dealer will be entitled for Limit on 1: 0.15 on his available SDS.

2. Platinum Club Dealer will be entitled for Limit on 1:0.10 on his available SDS.

3. Gold Dealer are not entitled for any Limit.

**** Dealer will not entitle for club limit in case of Overdue.

This Limit will be over and above the limit mentioned in Partnership Policy C/DIS/26-27/02.

C/DIS/26-27/08
30 March 2026

Zonal Managers / Regional Managers

CEAT SHOPPE POLICY 2026-27

1. SECURITY DEPOSIT SCHEME (SDS)

The minimum amount of SDS varies from Class A (C3): Rs. 10 lakhs (Ten lakhs), Class B (C2): Rs. 8 lakhs (Eight lakhs), Class C (C1): Rs. 6.5 lakhs (Six lakh Fifty thousand) depending on Special Channel Type.

2. STRATIFIED APPROACH

DESCRIPTION	CEAT Shoppe		
	C3	C2	C1
Town Class*	Ahmedabad, Bangalore, Chennai, Delhi, Faridabad, Ghaziabad, Gurgaon, Hyderabad, Jaipur, Surat, Kolkata, Lucknow, Noida, Pune & Mumbai##	ALL CITIES >3L	ALL OTHER CITIES
CEAT SHOPPE AREA **	500 - 1200 SFT	800- 1200 SFT	600-800 SFT
SDS (MINIMUM)	10L	8L	6.5L
Monthly Target	250 PCR + UVR	200 PCR + UVR	150 PCR + UVR

Mumbai encompasses Mumbai, Navi-Mumbai, Vasai-Virar, Thane, Kalyan, Dombivli
*For better understanding of the town class, pl refer the list of recommended towns.
** Negotiable

In case of existing CEAT Dealer would like to upgrade to CEAT Shoppe, below would be the incremental volume targets over its Last 6 Months (sales) that the potential partner will need to commit

Illustration	Dealer 1	Dealer 2
	CEAT Shoppe-C3	CEAT Shoppe-C1
Policy Target	250	150
Existing Offtake (L6M Avg)	125	75

Incremental Number	100	100
Existing Offtake + Incremental Number	225	175
Starting Target	**250**	**175**
Explanation	As the existing Offtake+ Incremental Number is lower than the minimum starting level for C3 City (250), dealer Needs to take a starting commitment of 250	As existing offtake + Incremental Number is equal to 175 which is more than the minimum starting level for CEAT Shoppe – C1, dealer needs to take a starting commitment of 175

CEAT Shoppe
Incremental 100 (on base volume or policy Target- **Whichever is higher)**

3. Space Requirement

As a special exception, space requirement for Metro CEAT Shoppe Prospect (highlighted in Point No. 2) has been reduced to **500 sq. ft**, in the view of compensating for the heavy rentals in these cities; This exception is not applicable for C2 & C1 CEAT Shoppe Prospect

Description	**Metro**		**C3**		**C2**		**C1**	
Sq. Ft	**Min**	**Ideal**	**Min**	**Ideal**	**Min**	**Ideal**	**Min**	**Ideal**
Total Area	500	1000	800	1000	800	1000	700	800
Showroom Area	290	700	540	700	540	700	440	540
Workshop Area	210	300	260	300	260	300	260	260
Store Frontage	15	24	22	24	22	24	22	24
Ceiling Height	10	11	10	11	10	11	10	11
Number of Shutters	1	2	2	2	2	2	2	2

- *All Proposed shops should be located on the Main Road or Junction and on the Ground Floor*
- *Customer & Service area should be in* adjoining *space (gala) or in front of customer area.*
- *No proposals will be accepted if the both the areas (explicitly mentioned showroom area and service area) are NOT located in the same shop/ space*.
- *Proposals with Shed Type roof will be accepted for CEAT Shoppe on basis of Merit (case-to-case basis)*

4. A. <u>Special Channel Payout for CEAT Shoppe</u>

Category	Qualification Criteria	Rim Size	Special Channel Payout	Remarks	Disbursement
PCUV	PCUV Target Achievement	12" - 16 " (All Platforms)	2.50%	1.75% - Target Linked + 0.75% on Best Retail Practices	Quarterly (except 0.75% Best retail practices- which is Half-yearly)
		17"+ (All Platforms)	3.75%	3% - Target Linked + 0.75% on Best Retail Practices	
2W (MCY+ SC)	2W Target Achievement	All Platforms	1.5%	1.5% - Target Linked	
LM (C+R), LCV B	PCUV Target Achievement	All Platforms	1%	1% - Target Linked	

4. B. <u>Minimum Target for every New CEAT Shoppe</u>

Particulars	Dealer Type	Payout Target	Machinery Payout
New CEAT Shoppe-For first 4 quarters from Inauguration date	New Dealer (New onboarding)	PCUV :50, 2W: 50	PCUV - 50
	Existing Dealer (DL or SIS)	PCUV: L6M Avg, 2W: On Actuals	L6M average - Base target for 4 quarters

4.C <u>Minimum Target for every Existing CEAT Shoppe</u> Existing CEAT Shoppe will be assigned growth targets as per below target slabs and growth %:

Slabs	<200 APM	200-350 APM	351-600 APM	600+ APM
Operational Year 1	15%	12%	10%	8%
Operational Year 2	15%	10%	10%	8%
Operational Year 3	15%	9%	9%	7%
Operational Year 4	15%	8%	8%	6%
Operational Year 5	15%	8%	8%	6%

1) If CEAT Shoppe is doing average of 350 tyres every month and is constructed in FY25 (between April 2024- March 2025) Operational year will be Year 2 and growth assigned will be 10% more as compared to FY26 avg.
2) < 200 APM Slab target will be set at 15% growth on FY 26 avg or policy target whichever is higher.

CEAT Shoppe Special Channel Payout (mentioned in Point No. 4.A) will be issued to only those CEAT Shoppe who meet or overachieve their Growth Target.

All the CEAT Shoppe related benefits will be applicable/ evaluated based on the achievement of Growth Target

4. C. Best Retail Practices

All CEAT Shoppes would be evaluated on Best Retail Practices which will be measured by the following parameters:

1) GMB Reviews (25 reviews per store per month), 6-month target: 150 reviews
2) Lead conversion of minimum 15% cumulative for 6 months.

All CEAT Shoppes who achieve 100% on the above parameters will be eligible for 0.75% Incentive on Primary Value, which is the value after all discounts on BOI and before tax.

Payout will be released in October'26 (for Q1& Q2) and April'27 (for Q3 & Q4) for all qualifying CEAT Shoppes

5. A. MARKETING SUPPORT

MARKETING SUPPORT from CEAT	CEAT Shoppe		
	C3	C2	C1
Infrastructure Support	#Max. 16 Lakhs	#Max. 16 Lakhs	**Max. 11 Lakhs
Branding Support			
Machinery Support	Max. 8 Lakhs	Max. 8 Lakhs	Max. 5.5 Lakhs
Machinery to be Provided by CEAT Shoppe			
Tyre Changer	Yes	Yes	Yes

Wheel Balancing	Yes	Yes	Yes
Wheel Alignment	Yes	Yes	Yes
Nitrogen Filling	Yes	Yes	Yes

#CEAT will invest a maximum of Sixteen Lakhs towards Infrastructure and Branding Support of C3 and C2 category CEAT Shoppe, any proposal exceeding this will be subject to scrutiny and approval by HO and the additional investment will be recovered from the CEAT Shoppe (C3 & C2) in form of Quarterly Debit Notes which will be equivalent to Machinery Reimbursement amount (Credit Note) OR the CEAT Shoppe will have to accept HIGHER targets, details of which are mentioned below:

Infra Investment	**CS Target**	
	C3	**C2**
Above 18L to 21L	450	400
Above 16L to 18L	350	300
Up to 16L	250	200

** CEAT will invest a maximum of Eleven Lakhs towards Infrastructure and Branding Support of C1 category CEAT Shoppe, any additional investment will be recovered from the CEAT Shoppe (C1) in form of Quarterly Debit Notes which will be equivalent to Machinery Reimbursement amount (Credit Note) **OR** the CEAT Shoppe (C1) will have to accept HIGHER targets, details of which are mentioned below:

Infra Investment	**C1**
Above 13L to 16L	250
Above 11L to 13L	200
Up to 11L	150

5. B. SCOPE OF WORK (Infrastructure- CEAT and Dealer)

CEAT will take up the cost of developing the infrastructure of the proposed store.

The dealer needs to handover the store in the following state:

Below mentioned work should be in accordance with the design layout shared by the CEAT appointed vendor
Dealers' investment would be ascertained post recce by CEAT appointed vendor

1. Flooring (base) completed.
2. Ceiling (RCC/ Concrete roof) completed; Shed Type roof will be considered on case-to-case basis
3. Electrical work (points marked & cable layed) completed.
4. Air conditioner & other related infrastructure completed.
5. Walls (putty work, Plaster of Paris & 1 coat of white primer) completed.
6. Complete painting of the store (Indoor & Outdoor, as required)
7. High-Speed Internet for Customer use in Metro Cities- C3

CEAT will do the following work of the store:

a. Floor Tiling (Customer Interaction & Service Bay area), lighting arrangement (as per brand manual)
b. All furniture & fixtures (as per design/ brand manual).
c. Front signage (ACP board, as per design/ brand manual).
d. All instore creatives (as per design/ brand manual).
e. Service Area branding (as per design/ brand manual).

CEAT will ensure that the entire branding work is completed within 30-35 days from the date of handover of the showroom to the vendor for fabrication.

6. MARKETING SUPPORT (MACHINERY)

For the Standardized consumer experience across, CEAT Shoppe prospects will need to invest in Machinery brands as per the below table.

Machinery Reimbursement	**CEAT Shoppe**		
	C3	**C2**	**C1**
Machinery Brand	Hunter/ Hoffman		Hunter/ Hoffman/ Manatec
Machinery Payout Eligibility	Maximum 8L		Maximum 5.5L
Quarterly Payout	**INR 65,000 (till the amount of Rs 8L or machinery value whichever is lower)		**INR 45,000 (till the amount of Rs 5.5L or machinery value whichever is lower)

** **Machinery Support Pay-out will be linked to the Target Achievement of ALL the CEAT Shoppe**

The Policy of FY27 will override all the previous policies and all the CEAT Shoppes & CEAT Tyre Stop will have to achieve their Targets to be eligible for Machinery Payout.

In case the CEAT Shoppe does not achieve its target and misses out on the machinery reimbursement for the quarter, he will have the opportunity to be eligible for disbursement by achieving targets in the next quarter.

Important points about machinery reimbursement

a. All Machinery invoices will be mandatorily validated by the OEM manufacturers/distributors. In case of any discrepancy in the Invoice CEAT will not be liable for any machinery reimbursement of any amount for the store.
b. CEAT Shoppe prospects to invest in the Premium package of (HUNTER, HOFFMAN AND MANATEC). Details of the same are aligned with respective machinery OEM manufacturers/distributors and the rates are negotiated for the same by CEAT procurement team.
c. All New CEAT Shoppe in FY27 should mandatorily have an Automatic Tyre changer with capability of 22 inches rim size

d. CEAT Shoppes opening newly, need to buy the recommended set of machinery only. **No other brand of machinery will be reimbursed**.

e. For CEAT shoppes with an existing set of machinery (in case a prospect already has a machinery set up, we shall consider **HUNTER, HOFFMAN, JOHNBEAN, ATS ELGI** and **MANATEC** only. **NO OTHER BRANDS WILL BE CONSIDERED**. The dealer needs to re-invest in machinery in case the stated brands are not available in the proposed store.

f. The dealer needs to get the fitness certificate from the machine manufacturer in case the machine is not new.

g. Under no circumstances shall we approve any case of existing machinery which is more than 1 year. The dealer needs to submit a copy of the invoice to establish the vintage of the machine & claim the reimbursement.

h. The vintage of the existing machine shall be counted from the date of signing the legal agreement with CEAT. RCM to vet the vintage by way of CHECK LIST prior to the agreement signing.

7. MARKETING SUPPORT EXCLUSIVE FOR CEAT SHOPPE

Marketing Support
Training Program for owner and staff for CEAT Shoppe
Visibility on CEAT website and Google My Business profile
Uniform for CEAT Shoppe Staff
Visibility budget for CEAT Shoppe during inauguration
CEAT Miles- Consumer Giveaway Program

* Every new CEAT Shoppe will be allocated a maximum of Rs. 75000/- budget. Complete Inauguration budget needs to be mandatorily used for BTL activations (Hoardings, Pole Kiosks, Newspaper Inserts, Digital Media, Service camps etc.) for generating footfalls and will be taken up centrally by the CEAT marketing team.

GENERAL POINTS TO BE NOTED:

1. Appointment of CEAT Shoppe will be with an agreement for a minimum of 5 years and it may be terminated any time with 30 days' notice period from either party as per the exit clauses defined in the legal agreement.

2. All the existing Infra support shall continue as it is. The infra and Machinery changes proposed in this policy shall be applicable to the CEAT shoppe who are appointed w.e.f. 30th March 2026

3. **Special Channel Payout change defined in this policy will be applicable to all Existing CEAT shoppe:**

4. 1% **Special Channel Payout** on categories mentioned above shall be payable only when the dealer achieves his Quarterly PCUV target (as per policy slab or defined target **whichever is higher**).

5. The **Special Channel Payout** is payable quarterly upon qualification as per the criteria mentioned above, as a percentage of **PCR + UVR Value**, which is value after all discounts on BOI and before tax.

6. Target is subject to revision each year and will be announced by CEAT at the beginning of each financial year. A **Special Channel Payout** is payable only on the achievement of the defined target for each dealer.

7. The **Special Channel Payout** will be re-evaluated after 12 months. The extent of the discount and new target will be assessed at that point.

8. The value for **Special Channel Payout** purpose includes sales of all Tyre, Tube and Flap (less sales return, Claim, Test tyre and sludge sales) by the CEAT Shoppe during the quarter.

9. The CEAT shoppe **CAN** carry forward the target shortfall of one quarter to the next quarter, achieve the balance & get the lost sales incentive IN THE SAME FINANCIAL YEAR. TARGETS WILL NOT BE CARRY FORWARDED TO THE NEXT FINANCIAL YEAR.

10. The marketing support service charges (Machinery) shall be paid @ 65000/- or 45000/- for CEAT Shoppe (C3/C2 and C1) respectively per Quarter on achievement of PCUV targets only.

11. The CEAT Shoppe **(NEW & EXISTING)** must have a fire extinguisher in place. The dealer shall submit the invoice to the RCM (as proof of purchase). RCM to confirm the same to HO while sending the request for code activation (for NEW CEAT Shoppe). For existing, the TLs must ensure compliance.

12. CEAT Shoppe must provide a minimum set of services as per the 'New CEAT Shoppe Requirements' and adopt the standardized design set by the company.

13. The company may decide to introduce new services/policies at any point in time. The CEAT shoppe will have to compulsorily introduce the same at their outlets, failing which both the support (Sales & Infrastructure) or any one of these can be withdrawn.

14. All the CEAT Shoppe must have the facility of card swiping machine / digital payment.

15. **The CEAT shoppe has been appointed with the objective of exclusivity. In case someone is found stocking, displaying competition tyres & putting up any sort of signage, POSM of any other brand, Sales Incentive & Machinery Support for the quarter SHALL NOT BE ISSUED. In case he is found doing the same after 1st warning, we shall revoke the CEAT Shoppe status univocally. All discounts & support will be stopped unconditionally. Exit clauses as per legal agreement will apply for the CEAT shoppe dealer.**

16. **All CEAT Shoppes introduced in Metro Cities- C3 will need to provide HIGH-SPEED Internet service to the customers.**

17. **Notwithstanding anything contrary to the clauses of this policy, the below clauses of dealer partnership policy (C/DIS/26-27/02) shall apply to a CEAT Shoppe dealer:**
    Clause 3: Interest on Security Deposit (SDS)
    Clause 4: Trade Discount
    Clause 5: Credit Limit
    Clause 6: Credit Period and Mode of Collection
    Clause 7: PPD- Prompt Payment Discount
    Clause 9: Adjustment of Overdue/ Debit Note
    Clause 10: Cheque Returns

C/DIS/26-27/09
30 March 2026

SHOPPE RENOVATION POLICY FY 26-27

Stratified Approach

DESCRIPTION	CEAT Shoppe		
	C3	**C2**	**C1**
Town Class*	Ahmedabad, Bangalore, Chennai, Delhi, Faridabad, Ghaziabad, Gurgaon, Hyderabad, Jaipur, Surat, Kolkata, Lucknow, Noida, Pune & Mumbai##	ALL CITIES >3L	ALL OTHER CITIES
CEAT SHOPPE AREA **	500 - 1200 SFT	800- 1200 SFT	600-800 SFT
SDS (MINIMUM)	10L	8L	6.5L
Monthly Target	250 PCR + UVR	200 PCR + UVR	150 PCR + UVR

Mumbai encompasses Mumbai, Navi-Mumbai, Vasai-Virar, Thane, Kalyan, Dombivali
*For better understanding of the town class, pl refer the list of recommended towns.

Renovation of CEAT Shoppe will be with an agreement for minimum 5 years and it may be terminated any time with 30 days' notice period from either party as per the exit clauses defined in Clause 4 in the legal agreement.

From FY27, NEW Shoppe Design will be executed through the Renovation Policy for Shoppe in a phased manner, these overhauls will be based on ageing of the store, the criteria would be

- Store ageing > 5 Years (From the date of appointment /Conversion)
- The store should be Productive (Minimum 250 tyres monthly average) for a minimum of 12 months.

Relocation clause has been added for CEAT Shoppe which want or need to relocate their Shoppes due to issue/ concern raised by landlords or Municipal Corporations

CEAT will restrict the percentage of investment basis the vintage of the Shoppe basis below table, balance amount will be invested by the Shoppe.

No. of Year	CEAT Investment %
Under 3	25%
3 to 4 Years	50%
4 to 5 Years	75%

RENOVATION POLICY			
	C1	**C2**	**C3**
A. PERIOD	5 YEARS from the date of Appointment/ Conversion for Shoppes appointed before 31st March 2020	5 YEARS from the date of Appointment/ Conversion for Shoppes appointed before 31st March 2020	5 YEARS from the date of Appointment/ Conversion for Shoppes appointed before 31st March 2020
	Approval of renovation is subject to the Shoppe being productive for last 12 months		

MARKETING SUPPORT (INFRASTRUCTURE)

For the NEW Design CEAT Shoppe, below is list of prerequisites which the CEAT Shoppe needs complete in accordance with the design layout & BOQ shared by the CEAT appointed vendor

Shoppe's investment would be ascertained post recce by CEAT appointed vendor

SR. NO	ITEM DESCRIPTION
1	**WALL PUNNING**
	Providing and fixing punning on the walls as per design and details. Complete in all respects.
2	**WALL PAINTING**
	Providing and fixing luster paint on the walls as per design and details. Complete in all respects.
3	**CEILING PAINTING including beams**
	Removing of any existing false ceiling/panelling etc. Providing & applying water-based emulsion paint on ceiling, minimum three coat, including base preparation of surface, scrapping, sand papering, punning/putty, etc complete in all respects.
4	**ELECTRICAL**

a	Providing and fixing Light point wiring from switch board to individual light points with PVC Conduits / and including switch boards, accessories etc. Supply & installation of 5A/15A switch socket outlet with M.S. concealed box (raw power). Cabling-Supply & laying of cables in PVC conduits with accessories. Earthing - including the earthing pit and supply and laying of earthing wire. Supply of power and providing MCB for all the services like AC, security services, signages, AV technology etc. Complete in all respects
b	Supply, install, connect & commission of all electrical works including all necessary setting up the DB, MCB panel, wiring for all light & switch points, switchboards including all civil works, PVC round casing/ducts for concealed wiring as per requirement & specifications based on the drawings. Supply of power and providing MCB for all the services like AC, security services, signages, AV system etc. Complete in all respects
c	Supply, install, connect & commission including all necessary civil works, ducts, cabling, concealed conduits, etc, as shown in drawings & specifications of below requirements -
d	All Light points & Fan points (wiring from switch board to individual light points with concealed PVC Conduits / and including switch boards, accessories etc.)
e	All 5A/15A switch/socket outlets with M.S. concealed box (raw power).
f	Earthing System: Supply, install, connect and commission a typical earthing system, including, copper tapes, earthing rods, earthing pits, covers, conductors and all accessories as specified and as shown in drawings. a- For Main Distribution Board (MDB) (Earthing resistance not to exceed 2 ohms). b- For computer site. (Earthing resistance not to exceed 1 ohm).
5	**ROLLING SHUTTER with paint (as per site) with metal box to cover finished with approved paint**
	Providing and fixing of a heavy rolling shutter in iron with anti-dust primer and anti-corrosive paint with metal box covering with paint complete in all respect.
6	**LEVELING THE SURFACE FOR THE PYLON SIGNAGE**
	Clearing the debris and heaps of soil or garbage if any at the location of the outdoor pylon signage and cleaning the area for the installation.

Below are the investments restrictions for CEAT Shoppe Renovation for FY27 Policy

MARKETING SUPPORT from CEAT	**CEAT Shoppe C3**	**CEAT Shoppe C2**
Infrastructure Support **Branding Support**	#Max. 16 Lakhs	#Max. 16 Lakhs

#CEAT will invest a maximum of Sixteen Lakhs towards Infrastructure and Branding Support, any proposal exceeding this will be subject to scrutiny and approval by HO and the additional investment will be recovered from the CEAT Shoppe in form of Quarterly Debit Notes which will be equivalent to Machinery Reimbursement amount (Credit Note) OR the Shoppe will have to accept HIGHER targets,

details of which are mentioned below:

Infra Investment	CS Target	
	C3	C2
Above 18L to 20L	450	450
Above 16L to 18L	350	350
Up to 16L	250	200

MARKETING SUPPORT (MACHINERY)

From FY27, the policy of Machinery reimbursement is changing with respect to years of machinery usage, this policy is applicable to all the existing and new Shoppes and supersede of the existing policy for Machinery Reimbursement.

	C1	C2	C3
MACHINERY CHANGE PERIOD	7 years from the month of Shoppe commissioning	7 years from the month of Shoppe commissioning	7 years from the month of Shoppe commissioning

Machinery Reimbursement	CEAT Shoppe		
	C3	C2	C1
Machinery Brand	Hunter/ Hoffman		Hunter/ Hoffman/ Manatec
Machinery Payout Eligibility	Maximum 8L		Maximum 5.5L
Quarterly Payout	**INR 65,000 (till the amount of Rs 8L or machinery value whichever is lower)		**INR 45,000 (till the amount of Rs 5.5L or machinery value whichever is lower)

Important points about machinery reimbursement

a. All Machinery invoices will be mandatorily validated by the OEM manufacturers/distributors. In case of any discrepancy in the Invoice CEAT will not be liable for any machinery reimbursement of any amount for the store.
b. CEAT Shoppe prospects to invest in the Premium package of (HUNTER, HOFFMAN , ATS ELGI AND MANATEC). Details of the same are aligned with respective machinery OEM manufacturers/distributors and the rates are negotiated for the same by CEAT procurement team.
c. All New CEAT Shoppe in FY27 should mandatorily have an Automatic Tyre changer with capability of 22 inches rim size

C/DIS/26-27/10
30 March 2026

MBO POLICY 2026 -27

1. SECURITY DEPOSIT SCHEME (SDS)

The minimum amount of SDS is Rs.5.00L (Five Lacs) for all MBO

2. Special Channel Payout to MBO

Category	Qualification Criteria	Rim Size	Special Channel Payout	Remarks	Disbursement
PCUV	Quarterly Target Achievement	12" - 16 " (All Platforms)	1.5%	1.5% - Target Linked	Quarterly
		17"+ (All Platforms)	3.00%	3% - Target Linked	

3. Qualification Criteria for MBO

For Conversion of dealer to MBO, dealer needs to sign up an LOI with CEAT for minimum target of 75 tyres per month of PCR+UVR category with a minimum 20% saliency of PCUV Premium (17" +)

Qualification criteria for Special Channel Payout for MBO (New Dealer)

- Minimum 75 tyres per month
- Minimum 15 tyres of PCUV Premium (17" +) as a part of 75 tyres achievement

Qualification criteria for Special Channel Payout for MBO (Existing Dealer)

- Additional 25 tyres per month on L6M average of 75 tyres whichever is higher
- Minimum 20% saliency of PCUV Premium (17" +) or 15 tyres whichever is higher

4. GROWTH TARGET FOR MBO IN FY27

Every New and Existing MBO will be assigned with growth targets for the financial year on quarterly basis, which will be basis the company's growth aspiration and growth targets set for the category i.e. PCUV. These targets will be assigned to the MBO on a quarterly basis i.e. before the start of each quarter

MBO Special Channel Payout (mentioned in Point No. 2) will be issued to only those MBO who meet or achieve their Growth Target.

All the MBO related benefits will be applicable/ evaluated based on the achievement of Growth Target

5. SERVICE TO BE PROVIDED BY MBO

Dealers who are providing the below mentioned services from the same counter/ shop will be eligible for MBO enrollment/ conversion.

Service to be Provided by MBO	
Tyre Changer	Yes
Wheel Balancing	Yes
Wheel Alignment	Yes
Nitrogen Filling	Yes

6. Growth Linked Discount

Dealers will be eligible for Growth Linked Discount as per CEAT Commercial policy 2026 -27 only if the business turnover is greater than 5 lacs per month.

GENERAL POINTS FOR MBO POLICY:

a) Minimum counter potential should be **500 PCR&UVR per month**.

b) The counter should provide at least 100 sq. ft prime (floor/ wall) space for the MBO branding within the outlet.

c) For Base calculation - Average to be calculated basis number of month MBO has done business transaction with CEAT in the above period. If transacted only for 8 months, then total business value for the above period will be divided by 8 to calculate average sales volume.

d) All the prospects on or before appointment must sign Letter of Intent and will be approved by **Sr. Manager – Retail Business.**

e) Special Channel Payout will be payable on the minimum target for MBO as defined by policy or the target proposed by the HO team, whichever is higher.

f) Target is subject to revision each year and will be announced by CEAT at the beginning of each financial year. Special Channel Payout is payable only on the achievement of the defined target for each dealer

g) Special Channel Payout is payable quarterly upon qualification as per criteria mentioned above, as a percentage of PCR & UVR Tyre & Tube Value, which is value after all discounts on body and before tax.

Calculation of Special Channel Payout will be done on a pro--rated basis after the Dealer Code is converted to MBO Code in the system (SAP) For example, if the LOI is received in August, discount for Q2 will be calculated for August and September from conversion date provided the increase sale criteria is met. For Example

Illustration	Dealer 1	Dealer 2	Dealer 3
Policy Target (Monthly Average)	**75**	**75**	**75**
LOI signing date	15th August	05th April	01st December
Pro- rated target (For Quarter)	**150**	**225**	**75**
Explaination	As dealer onboarded in second month of the quarter, his target will be for 2-month (Pro-rated basis), he will need to achieve the said number on or before quarter end to qualify for MBO Special Channel Payout	As dealer onboarded in first month of the quarter, his target will be for 3-month (Pro-rated basis), he will need to achieve the said number on or before quarter end to qualify for MBO Special Channel Payout	As dealer onboarded in last (3rd) month of the quarter, his target will be for 1 month (Pro-rated basis), he will need to achieve the said number on or before quarter end to qualify for MBO Special Channel Payout

If MBO appointment in first 15 days of the month i.e., 01st to 15th , then he will have the target of 75 tyres for that month; if appointment date is between 16th to 31st, then target will start from next month onwards, All calculations will be done at the end of the quarter for the MBO

h) PCR & UVR value for Special Channel Payout purpose is value of Car Radial & Jeep Radial Tyre and Tube. If any MBO is not able to reach defined target volume for PCR & UVR in any quarter, the Special Channel Payout will not be disbursed for that quarter.

i) MBO CAN carry forward the target shortfall of one quarter to the next quarter, achieve the balance & get the lost sales incentive IN THE SAME FINANCIAL YEAR. TARGETS WILL NOT BE CARRY FORWARDED TO THE NEXT FINANCIAL YEAR.

j) If any MBO is appointed between 15th of the month, payout for billing after 15th till that month end will be on actuals. Target will be applicable only from next month.

k) Appointment of MBO will be with an agreement for minimum 2 years and it may be terminated any time with 30 days' notice period from either party.

l) MBO must provide a minimum set of services i.e. Tyre Changing, Wheel Balancing, Wheel Alignment & Nitrogen tyre inflation as per the MBO requirement and adopt the standardized design set by the company

m) Special Channel Payout will be re-evaluated after 12 months. The extent of discount and new target will be assessed at that point.

Notwithstanding anything contrary to the clauses of this policy, the below clauses of dealer partnership policy (C/DIS/26-27/02) shall apply to an MBO dealer:

Clause 3: Interest on Security Deposit (SDS)
Clause 4: Trade Discount
Clause 5: Credit Limit
Clause 6: Credit Period and Mode of Collection
Clause 7: PPD- Prompt Payment Discount
Clause 9: Adjustment of Overdue/ Debit Note
Clause 10: Cheque Returns

C/DIS/26-27/11
30 March 2026

SHOP IN SHOP (SIS) POLICY 2026 -27

1. SECURITY DEPOSIT SCHEME (SDS)

The minimum amount of SDS is Rs.5.00L (Five Lacs) for all SIS

2. Special Channel Payout to Shop in Shop

Category	Qualification Criteria	Rim Size	Special Channel Payout	Remarks	Disbursement
PCUV	Quarterly Target Achievement	12" - 16 " (All Platforms)	1.75%	1.75% - Target Linked	Quarterly
		17"+ (All Platforms)	3.00%	3% - Target Linked	

3. GROWTH TARGET FOR SIS IN FY27

Every New and Existing SIS will be assigned with growth targets for the financial year on quarterly basis, which will be basis the company's growth aspiration and growth targets set for the category i.e. PCUV. These targets will be assigned to the SIS on a quarterly basis i.e. before the start of each quarter

SIS Discount (mentioned in Point No. 2) will be issued to only those SIS who meet or overachieve their Growth Target.

All the SIS related benefits will be applicable/ evaluated basis the achievement of Growth Target

4. SERVICE TO BE PROVIDED BY SHOP IN SHOP

Dealer who are providing the below mentioned services from the same counter/ shop will be eligible for SIS enrollment/ conversion.

Service to be Provided by SIS	
Tyre Changer	Yes
Wheel Balancing	Yes
Wheel Alignment	Yes
Nitrogen Filling	Yes

GENERAL POINTS FOR SIS POLICY:

a) Minimum counter potential should be **500 PCR&UVR per month**.

b) CEAT will take up the entire expense for the branding effort once **counter sale for CEAT exceeds 150 tyres average per month.**

c) The counter should provide at least 100 sq. ft prime (floor/ wall) space for the SIS branding within the outlet.

d) For Base calculation - Average to be calculated basis number of month SIS has done business transaction with CEAT in the above period. If transacted only for 8 months, then total business value for the above period will be divided by 8 to calculate average sales volume.

e) All the prospects on or before appointment must sign Letter of Intent and will be approved by Sr. Manager – Retail Business.

f) Discount will be payable on the minimum target for SIS as defined by policy or the target proposed by the HO team, whichever is higher.

g) Target is subject to revision each year and will be announced by CEAT at the beginning of each financial year. Discount is payable only on the achievement of the defined target for each dealer

h) Discount is payable quarterly upon qualification as per criteria mentioned above, as a percentage of PCR & UVR Tyre & Tube Value, which is value after all discounts on body and before tax. Calculation of discount will be done on a pro--rated basis after the Dealer Code is converted to SIS Code in the system (SAP) For example, if the LOI is received in August, discount for Q2 will be calculated for August and September from conversion date provided the increase sale criteria is met. For Example

Illustration	Dealer 1	Dealer 2	Dealer 2
Policy Target (per month Average)	150	150	150
LOI Signing date	15th August	05th April	01st December
Pro- Rated Target (for Quarter)	**300**	**450**	**150**
Explanation	As dealer was onboarded in second month of the quarter, his target will be for 2 month (pro-rated basis) he will need to achieve the said number on or before quarter end to qualify for SIS Discount	As dealer was onboarded in first month of the quarter, his target will be for 3 month (pro-rated basis) he will need to achieve the said number on or before quarter end to qualify for SIS Discount	As dealer was onboarded in last (third) month of the quarter, his target will be for 1 month (pro-rated basis) he will need to achieve the said number on or before quarter end to qualify for SIS Discount

If SIS appointment in first 15 days of the month i.e., 01st to 15th , then he will have the target of 150 tyres for that month; if appointment date is between 16th to 31st, then target

will start from next month onwards, All calculations will be done at the end of the quarter for the SIS

i) PCR & UVR value for discount purpose is value of Car Radial & Jeep Radial Tyre and Tube. If any SIS is not able to reach defined target volume for PCR & UVR in any quarter, the discount will not be disbursed for that quarter.

j) SIS CAN carry forward the target shortfall of one quarter to the next quarter, achieve the balance & get the lost sales incentive IN THE SAME FINANCIAL YEAR. TARGETS WILL NOT BE CARRY FORWARDED TO THE NEXT FINANCIAL YEAR.

k) If any SIS is appointed between after 15th of the month, payout for billing after 15th till that month end will be on actuals. Target will be applicable only from next month.

l) Appointment of SIS will be with an agreement for minimum 2 years and it may be terminated any time with 30 days' notice period from either party.

m) SIS must provide minimum set of services i.e. Tyre Changing, Wheel Balancing, Wheel Alignment & Nitrogen tyre inflation as per the SIS requirement and adopt the standardized design set by the company

n) Discount will be re-evaluated after 12 months. The extent of discount and new target will be assessed at that point.

Notwithstanding anything contrary to the clauses of this policy, the below clauses of dealer partnership policy (C/DIS/26-27/02) shall apply to an SIS dealer:

Clause 3: Interest on Security Deposit (SDS)
Clause 4: Trade Discount
Clause 5: Credit Limit
Clause 6: Credit Period and Mode of Collection
Clause 7: PPD- Prompt Payment Discount
Clause 9: Adjustment of Overdue/ Debit Note
Clause 10: Cheque Returns

C/DIS/26-27/12
30 March 2026

GROUP STORE INCENTIVE POLICY FY 26-27

Annual Payout of INR 1 lac per store if existing CEAT Shoppe opens additional store

Below will be criteria for opening new store:

1) Brand store presence in white spaces/Premium locations in the city
2) Preference to be given to retail counters.

Additional Payout only up to 3 years based on below target achievement:

	Year 1	Year 2	Year 3
Group Store Incentive	INR 1 lacs	INR 1 lacs	INR 1 lacs
Expected Offtake	300	360	432
17"+ Saliency	45	54	65

- CEAT Shoppe policy FY27 for Infra and machinery will be implemented.
- Annual Payout will be basis the 17”+additional saliency from the current offtake.

C/DIS/26-27/14
30th March 2026

GLD (Growth Linked Discount) & BPLOU linked Booster Scheme

Applicable: All Dealers

GLD: 0.75% discount will be given to all dealers on achieving post-tax value target based on growth over last year.

BPLOU linked Booster: 0.50% additional discount will be given to a dealer who achieves BPLOU targets in minimum 6 categories out of the categories defined in Annexure.

Illustration:

GLD Achieved	Categories achieved	GLD Payout	Booster Payout	Total Payout
Yes	<=5 category groups	0.75%	0.00%	0.75%
Yes	>=6 category groups	0.75%	0.50%	1.25%
No	Not applicable	0.00%	0.00%	0.00%

Other Terms & Conditions:

- Value growth targets and BPLOU category wise volume targets to be allocated for every quarter by RM and approved by ZM
- Discount shall be computed on quarterly **pre-tax value**.
- **Mode of disbursement:** Quarterly Credit Notes shall be issued on achievement of target
- Dealer can make up for lost quarters by achieving Targets at YTD level. *Example: If a dealer has missed Q1 target by Rs. 50 lac but over-achieves Q2 target by Rs. 55 lac, they will be eligible to receive missed GLD for Q1 at the end of Q2 because YTD Q1+Q2 targets have been achieved. Similarly, YTD achievement shall be checked in Q3 and Q4 also. Applicability of booster shall be decided for every individual quarter to arrive at final % payout for missed quarter.*
- Categories with planning of greater than zero will be considering for range selling
- Any new category code created would be part of existing 11 Category groups.

Annexure-1

Category Code	Category	Category Group
2010	Truck Bias Tyres	Category 1
2015	Truck Rad Tyres	Category 2
2020	Hyton	Category 2
2030	LCV Bias Tyres	Category 3
2040	LCV Rad Tyres	Category 3
2045	Light Truck Steel	Category 4
2050	LM Bias Tyres	Category 5
2060	LM Rad Tyres	Category 5
2090	Car Rad Tyres	Category 6
2100	UV Rad Tyres	Category 6
2110	Scooter TT Tyres	Category 7
2112	Scooter TL Tyres	Category 7
2120	MOTORCYCLE TT TYRE	Category 7
2122	MOTORCYCLE TL TYRE	Category 7
2123	M.CYCLE TT with TUBE	Category 7
2124	PIRELLI & METZ TYRE	Category 7
2125	MOTORCYCLE RAD TYRE	Category 8
2127	Motorcycle Steel Rad	Category 8
2130	3-Wheeler Tyres	Category 9
2115	E-Rickshaw Tyres	Category 9
2095	PCUV 17 Plus	Category 10
2545	LM Bias Tubes Packed	Category 11
2585	Car Rad Tubes Packed	Category 11
2595	UV Rad Tubes Packed	Category 11
2605	Scooter Tubes Packed	Category 11
2615	MOTORCYC TUBE PACKED	Category 11
2620	3-WH TUBE PACKED	Category 11